Yancoal Australia Ltd

(YAL.AX)

Investment Thesis

Current Price: $5.64

Market Cap: $7.4B

Sector: Energy

Industry: Thermal Coal

Date: February 26, 2026

1. Business Description

Yancoal Australia Ltd engages in the exploration, development, production, and marketing of metallurgical and thermal coal in Australia, China, Japan, Taiwan, South Korea, Thailand, Vietnam, Malaysia, India, Europe, Israel, Chile, Indonesia, Cambodia, and Bangladesh. The company owns a 95% interest in the Moolarben coal mine located in the Western Coalfields of New South Wales; an 83.6% interest in the Mount Thorley and Warkworth mines located in the Hunter Valley region of New South Wales; and 51% interest in the Hunter Valley Operations located to the north-west of Singleton in the Hunter Valley region of New South Wales. It also holds 100% interests in the Yarrabee mine located to the northeast of Blackwater in Central Queensland's Bowen Basin; Donaldson located in the Hunter Valley; Ashton mine located in the Upper Hunter Valley region of New South Wales; and Stratford Duralie mine located within the New South Wales Gloucester Basin, the Stratford Duralie. In addition, the company owns a 50% interest in the Middlemount mine located to the northeast of Emerald in Queensland's Bowen Basin; and Austar and Cameby Downs, and other interests located in New South Wales, Queensland, and Western Australia. The company was incorporated in 2004 and is based in Sydney, Australia. Yancoal Australia Ltd is a subsidiary of Yankuang Energy Group Company Limited.

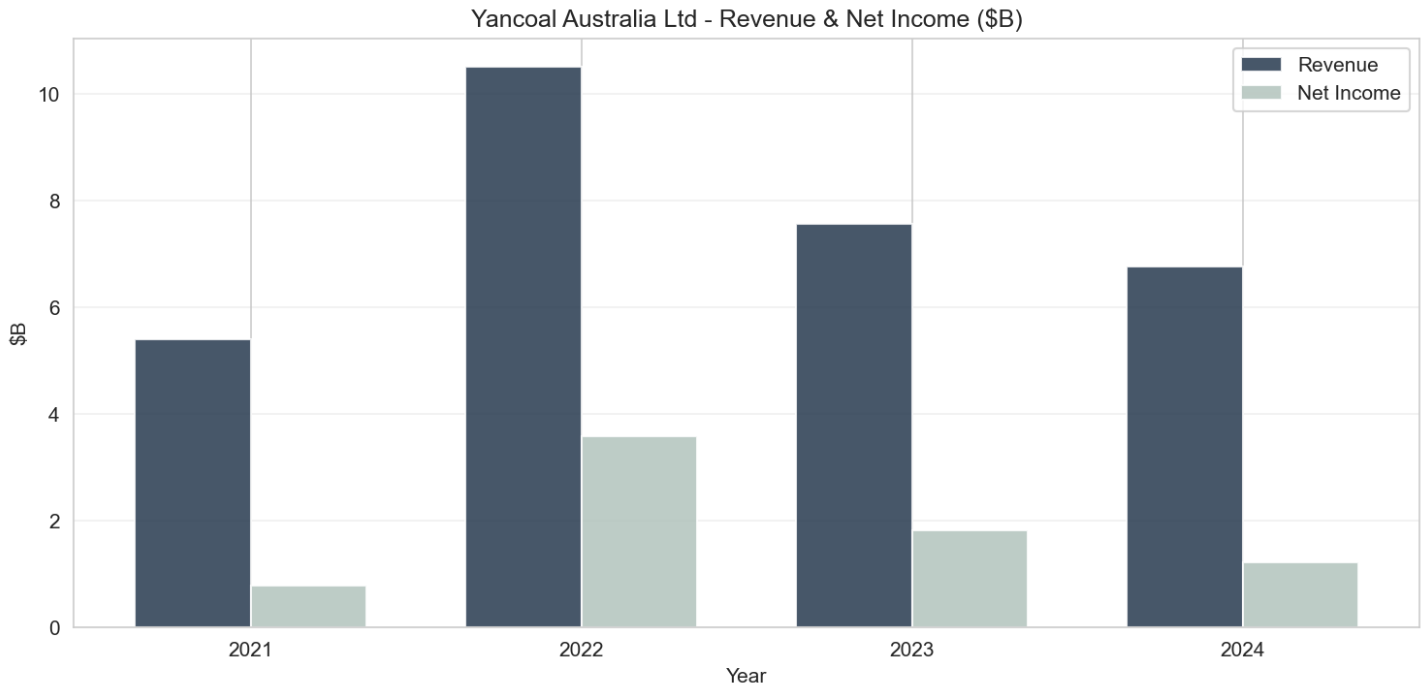
Key Metrics

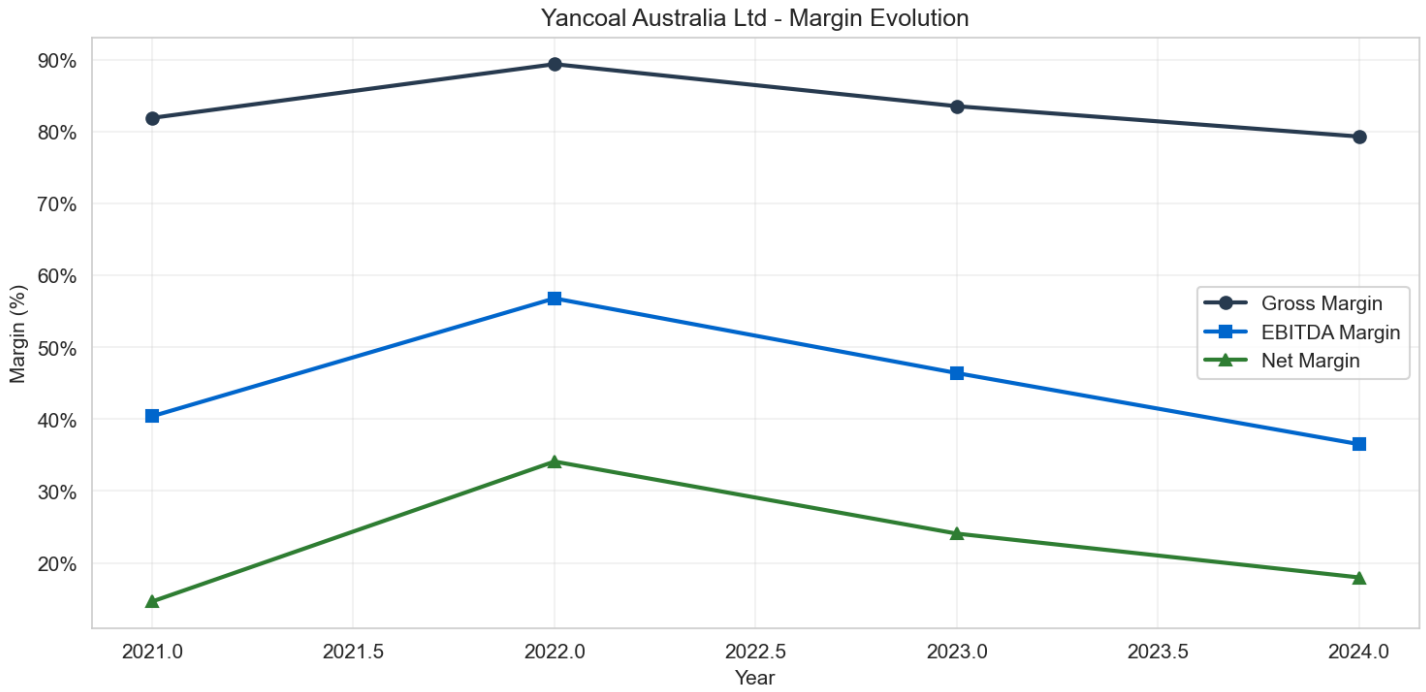
Market Cap	$7.4B	Enterprise Value	$0.0B
P/E Ratio (TTM)	7.7x	Forward P/E	N/A
EV/EBITDA	N/A	Revenue Growth	-12.8%
Gross Margin	100.0%	Operating Margin	35.9%
Net Margin	7.4%	Beta	1.00
Dividend Yield	3.26%	52W High	$6.73
52W Low	$4.36		

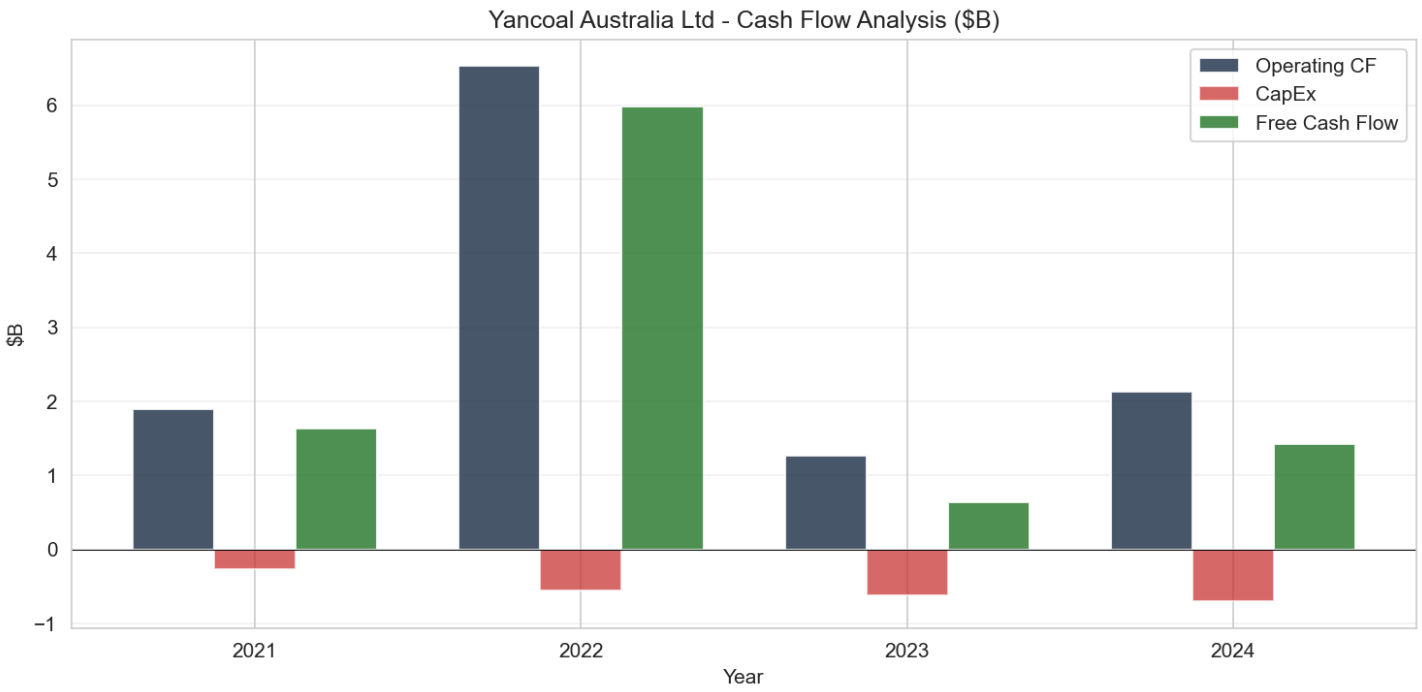
2. Financial Summary (Last 3 Years)

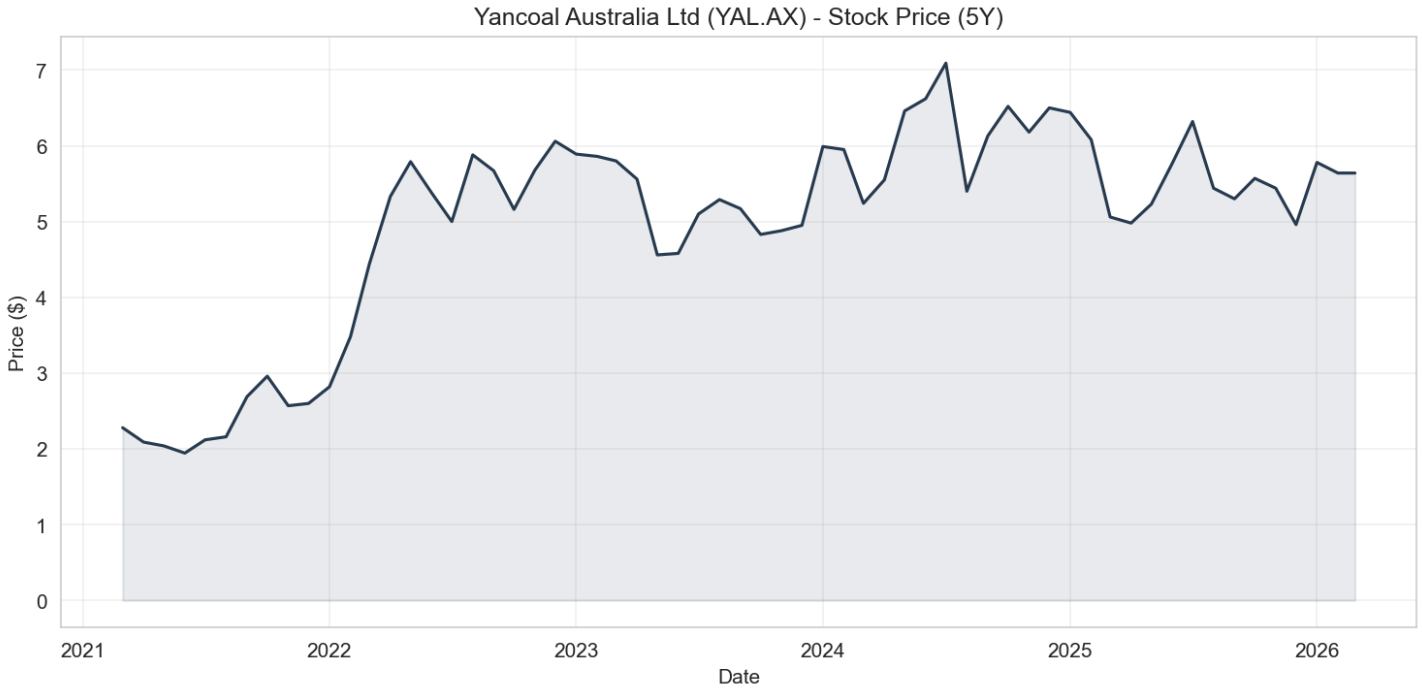
Metric ($M)	FY2022	FY2023	FY2024
Revenue	10,517	7,558	6,766
Gross Profit	9,400	6,313	5,366
Operating Income	6,237	3,104	2,129
Net Income	3,586	1,819	1,216
EBITDA	5,973	3,507	2,470
Free Cash Flow	5,978	639	1,428
Total Assets	12,880	11,387	12,356
Total Debt	1,346	248	112
Total Equity	8,030	8,442	9,317

3. Financial Charts






Yancoal Australia Ltd - Cash Flow Analysis ($B)
Operating CF
CapEx
Free Cash Flow
$B
6
5
4
3
2
1
0
−1
2021
2022
2023
2024
Year


Yancoal Australia Ltd (YAL.AX) - Stock Price (5Y)
Price ($)
7
6
5
4
3
2
1
0
2021
2022
2023
2024
2025
2026
Date

4. Positive Catalysts

- High gross margin of 100.0% demonstrates strong pricing power and competitive moat.
- Operating margin of 35.9% shows operational efficiency and scale benefits.
- Strong free cash flow generation of $1.4B provides flexibility for buybacks, dividends, or M&A.

5. Key Risks

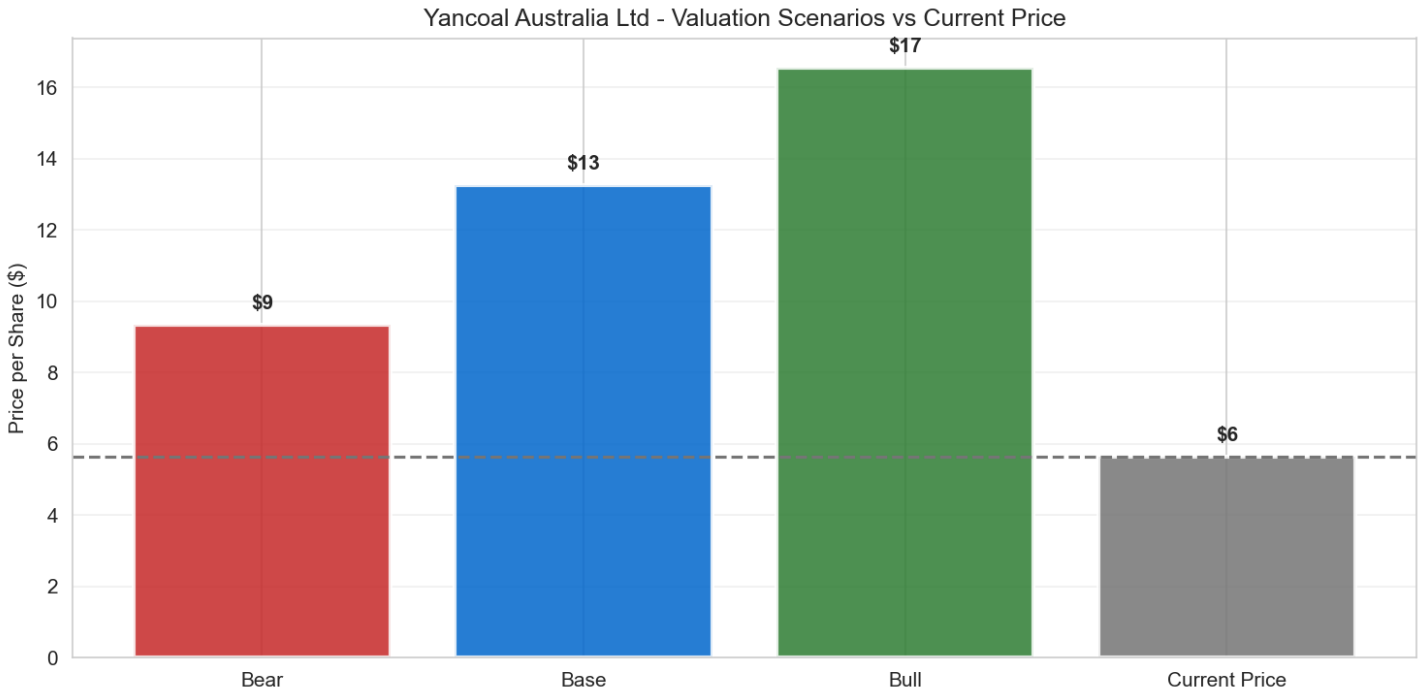
- Declining revenue (-12.8% growth) signals potential market share loss or industry headwinds.
- Macroeconomic risks including recession, inflation, and interest rate changes could impact performance.
- Competitive pressures in the Thermal Coal space may erode margins or market share.

6. Valuation Summary (DCF)

Current Price: $5.64

Scenario	Rev Growth Y1	WACC	TV Multiple	Gross Margin
Bear Case	-16.6%	12.0%	5x	81.5%
Base Case	-12.8%	10.0%	6x	83.5%
Bull Case	-9.0%	9.0%	8x	85.5%

Note: Detailed DCF calculations are available in the accompanying Excel model. The Excel model includes a sensitivity analysis table showing equity value per share across different WACC and Terminal Value Multiple assumptions.



7. Recent News

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Yancoal Australia Ltd (YACAF) Full Year 2025 Earnings Call Highlights: Record Production Amid ...

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YAL: Record production, strong cash position, and 55% dividend payout despite lower coal prices - TradingView

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YAL: Revenue and profit fell on weaker coal prices, but record production and strong cash flow enabled robust dividends - TradingView

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There's No Escaping Yancoal Australia Ltd's (ASX:YAL) Muted Earnings Despite A 25% Share Price Rise - simplywall.st

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Declining Stock and Decent Financials: Is The Market Wrong About Yancoal Australia Ltd (ASX:YAL)?

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Earnings call transcript: Yancoal Australia Q2 2025 sees robust performance amid challenges - Investing.com

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Returns Are Gaining Momentum At Yancoal Australia (ASX:YAL)

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Yancoal output climbs but earnings hit by lower coal prices - Proactive financial news

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